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BBRI Stock Price Prediction Using Deep Learning (LSTM) with a Recursive Approach

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ABSTRACT

Stock price prediction is a critical aspect of financial decision-making in volatile markets. Consequently, numerous studies have explored predictive models to enhance forecasting accuracy. This research focuses on predicting the closing price of Bank Rakyat Indonesia (BBRI) stock using a Long Short-Term Memory (LSTM) model with a recursive approach, conducted as a case study in the Indonesian stock market. Data were collected from daily price records spanning January 3, 2022, to June 20, 2025, totaling 793 observations after preprocessing, enriched with 17 technical indicators, and processed using the LSTM model trained over 100 epochs. The results of this study indicate that the LSTM model achieves a high performance on training data, with a Mean Squared Error (MSE) of 0.010965, Mean Absolute Error (MAE) of 0.080792, Root Mean Squared Error (RMSE) of 0.104714, and R-squared (R^2) of 0.969664, outperforming traditional Machine Learning models in one-day-ahead predictions. The researcher identified key factors influencing prediction accuracy, including 30-day historical data, technical indicators such as SMA_5, EMA_5, RSI_14, MACD, and Bollinger Bands, and the recursive prediction strategy effective up to nine days. However, accuracy declines beyond this horizon due to error accumulation. From these findings, the researcher recommends focusing on regular data updates and enhancing the recursive prediction framework to improve long-term forecasting accuracy in the dynamic Indonesian market.

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I. Introduction

Stock price prediction remains a crucial aspect of financial analytics, especially in emerging markets like Indonesia, where market behavior is influenced by high volatility, retail-driven sentiment, and macroeconomic uncertainties. Accurate and adaptive forecasting models are essential to support real-time investment decisions and risk mitigation. While many prior studies have demonstrated the effectiveness of Deep Learning methods such as Long Short-Term Memory (LSTM) for financial time series [3][4], most of them are designed for developed markets and often overlook the distinct dynamics of emerging economies like Indonesia.

Indonesia's stock market, particularly stocks such as Bank Rakyat Indonesia (BBRI), tends to exhibit irregular, abrupt changes in price trends, influenced by local news, policy interventions, and fluctuating investor confidence. These characteristics necessitate models capable of dynamic adaptation. In this context, the recursive prediction approach is highly relevant, as it allows the model to iteratively generate multi-day forecasts by using its previous outputs as subsequent inputs. This not only simulates real-world forecasting conditions but also provides adaptability in fast-changing markets.

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The main objective of this study is to design an accurate and adaptive Deep Learning model for predicting BBRI stock prices in Indonesia's dynamic market conditions, using a recursive LSTM approach enriched with 17 technical indicators. The recursive strategy enables multi-day prediction while maintaining contextual relevance through time-dependent modeling.

Unlike prior studies that focus solely on one-step-ahead predictions, this research evaluates model performance across multiple horizons (up to 9 days ahead), provides step-wise error metrics, and incorporates Gradio-based deployment to deliver a real-time, accessible forecasting platform. This tool allows users, especially retail investors and analysts, to simulate predictions with historical inputs in an interactive interface. Furthermore, a visual model architecture diagram is included to enhance transparency and reproducibility.

This integrated framework—recursive LSTM modeling, multi-metric evaluation, interactive deployment, and contextual adaptation—constitutes the core contribution of this study to the field of financial prediction in the Indonesian market.

II. Implementation Method

This study applies the Knowledge Discovery in Databases (KDD) process to predict BBRI's share price using a Deep Learning model based on Long Short-Term Memory (LSTM) with a recursive approach. The KDD process includes data selection, pre-processing, data transformation, data mining, and evaluation, which is designed to capture non-linear patterns and long-term dependencies in financial time series data, as described by Fischer and Krauss [3] and Bao et al. [4].

1. *Data Selection*

Data selection is the first stage in the Knowledge Discovery in Databases (KDD) process which functions to ensure that the data used is relevant, complete, and supports the research objectives. According to research [3], this stage focuses on the process of identifying and collecting data capable of capturing stock price dynamics, including non-linear patterns and long-term dependencies. Fischer and Krauss [3] and Bao et al. [4] also affirm that the selection of the right data is a fundamental step in building an optimal stock prediction model.

In previous studies, historical stock price data was often taken from reliable public sources and included a specific observation period to ensure a diversity of price movement patterns. Commonly used features include closing price, opening price, highest price, lowest price, transaction volume, and percentage change in price. The selection of these features is based on the principles of technical analysis that have been widely adopted in stock market predictions, as described in the research of Chowdhury et al. [9]. To improve the quality of predictions, some studies suggest enriching the dataset with additional technical indicators such as the Simple Moving Average (SMA), Exponential Moving Average (EMA), Relative Strength Index (RSI), Moving Average Convergence Divergence (MACD), Bollinger Bands, and Average True Range (ATR) [9]. The use of these indicators aims to extract additional information that cannot be directly captured by raw data. The data selection process in general also involves cleaning the data, such as eliminating missing values, converting data types (for example, transaction volumes that were originally in the form of strings such as 'M' for millions or 'B' for billions are converted into numerical values), and standardizing numerical values for easy further processing. According to Liu et al. [16], good data quality is essential in ensuring the optimal performance of the predictive model being built. The following is a table of description of the variables used in this study:

Table 1
Dataset Variable Description

No	Feature	Information
1	Date	Daily trading dates
2	Last	The closing price of the stock on that day (Dependent Variabel)
3	Unveiling	Unveiling
4	Highest	Highest stock price of the day
5	Lowest	Lowest stock price of the day
6	Vol	Stock trading volume on the day
7	Change%	Percentage change in closing price from the previous day
8	SMA_5	Simple Moving Average for 5 days
9	EMA_5	5-day Exponential Moving Average
10	RSI_14	Relative Strength Index for 14 days
11	MACD	Moving Average Convergence Divergence
12	Signal_Line	MACD signal line
13	BB_Mid	Middle Bollinger Band (Garis Tengah Bollinger Band)
14	BB_Low	Lower Bollinger Band (Garis Bawah Bollinger Band)
15	BB_Width	Bollinger Band Width (Lebar

		Bollinger Band)
16	BB_High	Bollinger Band Width (Lebar BollingerBand)
17	BB_Percent	Bollinger Band %B (Price position relative to the Bollinger Band)
18	ATR	Average True Range for 14 days

2. *Data Preprocessing*

Data preprocessing is a crucial stage in the Knowledge Discovery in Databases (KDD) process which aims to prepare raw data to suit the needs of machine learning modeling, especially the Long Short-Term Memory (LSTM) model. According to research [3], this stage serves to clean, transform, and organize data so that it is able to capture non-linear patterns and long-term dependence on stock price time series data. Fischer [3] and Bao et al. [4] emphasized that the preprocessing stage is an important foundation in ensuring that the data used can be processed effectively by the deep learning model. In previous studies, the preprocessing process was generally carried out through a series of stages that included data cleansing, data format conversion, addition of technical indicator-based features, and data normalization to ensure compliance with the LSTM model [9], [16]. The data cleansing process involves transforming the data type so that it is uniform and ready to be processed numerically. The date column is converted into a datetime format and the data is arranged chronologically by date to maintain time continuity. The transaction volume (Volume) column, which is generally presented in string format such as "90.84M" for million or "B" for billion, is converted to float-type numeric values by applying the appropriate multiplier factors (1e6 for million and 1e9 for billion). In addition, the Change% column, which was originally a string, was also converted to numerical format by removing the percent symbol and replacing the comma with a decimal point to match numerical processing standards. Furthermore, key features such as closing price, opening price, highest price, and lowest price are also ensured in a float format to maintain numerical consistency across the dataset. To improve the quality of the information in the data, various technical indicators such as the Simple Moving Average (SMA), Exponential Moving Average (EMA), Relative Strength Index (RSI), Moving Average Convergence Divergence (MACD), Bollinger Bands, and Average True Range (ATR) are calculated and added to the dataset, as recommended by Chowdhury et al. [9]. The addition of these technical indicators allows the model to detect trend patterns, momentum, and market volatility more comprehensively. In the process of calculating technical indicators, the removal of rows with empty values (NaN) is often done because indicators such as SMA require a certain time window for the initial calculation. Therefore, the deletion of data containing NaN values is carried out to ensure the integrity of the data in the model training process. The final stage of preprocessing is carried out through a normalization process using the MinMaxScaler method, which functions to change the scale of all features into the range [0,1]. This normalization method is commonly used in LSTM models to maintain training stability and avoid large-scale dominance of features over other features, as described by Liu et al. [16]. With the implementation of this preprocessing stage, the resulting data is ready to be used for the creation of a 30-day time series data sequence required in the BBRI stock price recursive prediction approach.

3. *Data Transformation*

Data transformation is one of the important stages in the Knowledge Discovery in Databases (KDD) process which functions to transform the processed data into a format that is suitable for the training needs of machine learning models, especially the Long Short-Term Memory (LSTM) model. According to research [3], this stage plays a role in shaping the data into a structure that is able to capture non-linear patterns as well as long-term dependencies contained in the stock price time series. Research by Fischer and Krauss [3] as well as Bao et al. [4] also states that precise data transformation can improve the model's ability to understand stock market dynamics. In previous studies, data transformation was generally performed on datasets that have passed the phase of cleansing and feature enrichment, so that the data has optimal quality before being used in deep learning models. One of the initial stages in the transformation process is the normalization of features using the MinMaxScaler method, which converts all feature values—such as closing price, opening price, high, low, transaction volume, price percentage change, and various technical indicators (SMA, EMA, RSI, MACD, Signal Line, Bollinger Bands, and ATR)—into the range [0.1]. The use of this normalization technique was recommended by Liu et al. [16] to maintain numerical stability during model training, particularly in overcoming the scale differences between volume features (in million to billions) and stock prices (in thousands). In addition to normalization, data transformation also involves compiling data into a sequential form that suits the needs of the LSTM model. This process is carried out through the creation of a time series sequence, where historical data is arranged into a series of 30-day time windows. Each sequence consists of a daily historical dataset with a number of relevant features, so that the model can study continuous temporal patterns. This data transformation method is in line with the research of Chowdhury et al. [9], which affirms the importance of compiling sequential data based on technical indicators to improve the performance of prediction models. By compiling the data into a sequential format, the LSTM model has a better ability to detect stock price movement patterns based on short-term and medium-term historical information. This transformation stage ensures that the data used as a model input has a

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consistent, clean, and relevant structure, so that it can effectively capture the dynamics of BBRI's share price, especially in the context of Indonesian stock market volatility.

4. *Data Mining and stock market prediction*

Data mining is the core stage in the Knowledge Discovery in Databases (KDD) process, which focuses on the process of modeling and finding patterns from data using machine learning methods. In this study, the Long Short-Term Memory (LSTM) method was used to build a model for predicting BBRI's share price. LSTMs were chosen for their ability to handle time series data containing non-linear patterns and long-term dependencies, as described in the research of Fischer and Krauss [3] as well as Bao et al. [4]. The LSTM model is included in the Recurrent Neural Network (RNN) architecture which is equipped with a long-term memory mechanism through a memory cell unit. This architecture is designed to overcome the vanishing gradient problems often found in conventional RNNs, making it more effective in studying data sequence patterns over long time horizons [3]. Based on previous studies, LSTM has been proven to be able to identify trends and dynamics of price movements in complex financial data [4]. In addition to method selection, this study applies a recursive forecasting approach, where the results of previous predictions are used as part of the input for future predictions. According to Liu et al. [16], the recursive approach is often used in time series prediction because it allows the model to dynamically update data inputs over time without the need for a full retraining. This technique is also useful for accommodating changes in market patterns that occur gradually. The LSTM model architecture that is generally used consists of several main components, namely:

- The LSTM layer serves to capture long-term dependencies in data,
- The Dense layer is used as the output layer to produce predictions of stock price values,
- The ReLU activation function is used on hidden layers to handle non-linear patterns,
- Adam Optimizer was chosen for its ability to accelerate the convergence process of model training,
- The Mean Squared Error (MSE) loss function is used because it is suitable for regression problems, such as price value prediction [9].

The integration of technical indicators is also part of the modeling strategy. A number of indicators such as Simple Moving Average (SMA), Exponential Moving Average (EMA), Relative Strength Index (RSI), Moving Average Convergence Divergence (MACD), Bollinger Bands, and Average True Range (ATR) are included in the input feature to enrich the representation of data information. According to Chowdhury et al. [9], the use of technical indicators helps models recognize market trends, momentum, as well as volatility that often cannot be captured from raw price data alone. Thus, the data mining stage in this study is focused on designing and training LSTM models with a recursive forecasting approach, as well as enrichment of features using technical indicators, all of which aim to build a stock price prediction model that is able to effectively capture the complexity of the Indonesian stock market.

5. *Prediction Strategy and Evaluation Results*

The evaluation stage is an important part of the Knowledge Discovery in Databases (KDD) process, which serves to assess the accuracy, reliability, and usefulness of the patterns extracted by the model. According to research [3], the evaluation aims to ensure that the predictive model developed has reliable performance before being used in decision-making. In this study, the evaluation strategy was carried out using several regression metrics that are commonly used to assess the performance of prediction models on time series data, namely Mean Squared Error (MSE), Mean Absolute Error (MAE), Root Mean Squared Error (RMSE), and R-squared (R^2). The use of these four metrics is based on the recommendation of Liu et al. [16] who stated that the combination of absolute error, quadratic error, and determination coefficient metrics can provide a comprehensive picture of the model's predictive performance.

- Mean Squared Error (MSE) is used to measure the average square of the difference between the predicted value and the actual value, which is sensitive to large errors.
- Mean Absolute Error (MAE) measures the average of absolute error without considering the direction of error.
- Root Mean Squared Error (RMSE) gives the error size in the same unit as the predicted value so it's easier to interpret.
- R-squared (R^2) measures the proportion of actual data variations that the model can explain, with a value close to 1 indicating a good model fit.

The selection of this metric is designed to measure the performance of the model both in terms of prediction accuracy and the ability to explain BBRI's stock price pattern based on historical data and technical indicators, as recommended in the study of Chowdhury et al. [9].

6. *Model Testing*

To ensure robustness and generalizability of the proposed model, an unseen test set was reserved from the latest portion of the dataset, specifically the last 10% of valid sequences. This test set simulates real-world, forward-looking prediction conditions, aligning with best practices recommended by Liu et al. [16] for validating temporal models under realistic market scenarios.

III. Results and Discussion

The purpose of this study is to develop a BBRI stock price prediction model using a Deep Learning approach based on Long Short-Term Memory (LSTM) with a recursive approach, which allows dynamic update of the model based on historical data and technical indicators.

The data used comes from the historical dataset of BBRI shares for the period January 3, 2022 to June 20, 2025, with a total of 826 observations, which after pre-processing and the addition of technical indicators resulted in 793 lines of valid data. This dataset was transformed into 763 sequences with a length of 30 days and 17 features, which were divided into 80% training data (610 sequences) and 20% validation data (153 sequences) using validation split during model training. The training process was carried out for 100 epochs with a batch size of 32, using an Adam optimizer (learning rate 0.001) and a Mean Squared Error (MSE) loss function.

A. Data Description

The data used in this study comes from the historical dataset of BBRI shares obtained from the stock market platform for the period January 3, 2022 to June 20, 2025, with a total of 826 observations. This dataset consists of one main dataset, namely daily stock price data which includes daily transaction information on BBRI shares. The final result data in this study is in the form of predicting the closing price of the stock (last) as a target variable, which is influenced by several features and technical indicators. In this study, there are 17 features used to predict stock prices, namely: closing price (Last), opening price, highest price, lowest price, transaction volume (Vol.), percentage change in price (Change), Simple Moving Average (SMA_5), Exponential Moving Average (EMA_5), Relative Strength Index (RSI_14), Moving Average Convergence Divergence (MACD), Signal Line, Bollinger Bands Middle (BB_Mid), Bollinger Bands High (BB_High), Bollinger Bands Low (BB_Low), Bollinger Bands Width (BB_Width), Bollinger Bands Percent (BB_Percent), and Average True Range (ATR). After a pre-processing process, including data cleansing and the addition of technical indicators, the dataset yielded 793 rows of valid data, which were then converted into 763 sequences with a length of 30 days for training the LSTM model with a recursive approach, as recommended by Chowdhury et al. [9].

B. Model Validation Approach

To evaluate the performance of the Long Short-Term Memory (LSTM) model with a recursive approach, this study adopts a split validation strategy, a method widely applied in time series forecasting research [3][16]. The dataset, after undergoing pre-processing and feature engineering, yielded 763 sequences, each comprising 30 consecutive days of historical data with 17 input features, including price components and various technical indicators such as SMA, EMA, RSI, MACD, Bollinger Bands, and ATR. The data was divided into 80% training sequences (610) and 20% validation sequences (153), enabling the model to learn from past patterns while being evaluated on unseen data. This separation ensures an objective assessment of the model's generalization ability, which is critical in stock price prediction tasks [9]. The LSTM model was trained for 100 epochs using the Adam optimizer with a learning rate of 0.001, and employed Mean Squared Error (MSE) as the loss function. Throughout the training process, model performance was monitored on both training and validation datasets. To assess prediction accuracy, evaluation metrics such as Mean Squared Error (MSE), Mean Absolute Error (MAE), Root Mean Squared Error (RMSE), and R-squared (R^2) were calculated. These metrics provide a comprehensive overview of the model's error distribution and explanatory power, especially in capturing temporal patterns in financial time series data.

C. Exploratory Data Analysis (EDA)

Exploratory Data Analysis (EDA) is the initial stage in the Knowledge Discovery in Databases (KDD) process to understand the characteristics, distribution, and relationships between features in the dataset before modeling [3]. In this study, EDA was conducted on the historical dataset of BBRI shares consisting of 826 daily observations from January 3, 2022 to June 20, 2025, which after pre-processing produced 793 lines of valid data with 17 features, namely closing price (Last), opening, high, low, transaction volume (Vol.), percentage change in price (Change%), and technical indicators such as Simple Moving Average (SMA_5), Exponential Moving Average (EMA_5), Relative Strength Index (RSI_14), Moving Average Convergence Divergence (MACD), Signal Line, Bollinger Bands Middle (BB_Mid), Bollinger Bands High (BB_High), Bollinger Bands Low (BB_Low), Bollinger Bands Width (BB_Width), Bollinger Bands Percent (BB_Percent), and Average True Range (ATR). EDA is performed to identify the distribution of closing prices as a target variable as well as the relationships between features through correlation analysis, which is visualized using histograms, correlation heatmaps, and historical price trend graphs. A visualization of the closing price trend is presented in Figure 1, which shows the movement of BBRI's share price during the observation period. Through the visualization of the historical trend of closing prices, researchers can observe seasonal patterns, long-term trends, and periods of high volatility that are characteristic of the Indonesian stock market. These patterns are important to analyze because they can affect the performance of prediction models, especially time series-based models such as LSTMs that are sensitive to temporal patterns.

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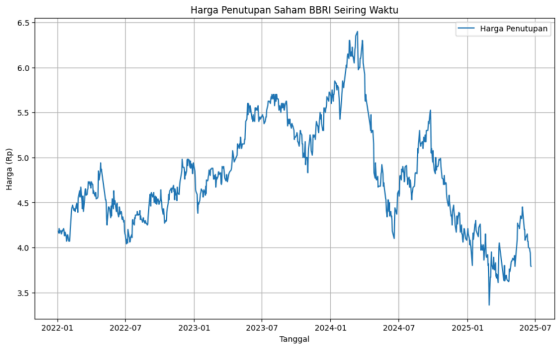

Figure 1. Chart of BBRI Stock Closing Price Trend for the Period January 2022 - June 2025

Based on Figure 1, it can be seen that BBRI's share price experienced significant fluctuations during the observation period. The price shows a fairly stable upward trend since the beginning of 2022 until it reached a peak in mid-2024, above the level of IDR 6,000 per share. However, after reaching that peak, there was a fairly drastic price decline until early 2025, indicating a period of high volatility. This pattern of price fluctuations suggests that the stock market is dynamic and not entirely predictable with simple linear patterns. This is a challenge as well as a motivation in this study to apply a prediction model based on Long Short-Term Memory (LSTM), which is known to have advantages in modeling long-term temporal dependencies on financial time series data.

D. Histogram Distribution of Closing Price

To understand the distribution of the closing price of BBRI shares (Lastly), a histogram is created to show the frequency of the price in a given range. Based on the analysis, the closing price ranges from 3.36 to 6.40 (in thousands of rupiahs), with most of the data concentrated around 4.5 to 5.5. This distribution shows a slightly right-skewed pattern, indicating that stock prices tend to be in the mid to high range more often, with some lower price peaks. This distribution reflects the volatility of the Indonesian stock market, where BBRI's share price fluctuates significantly due to external factors such as monetary policy or market sentiment, as explained by Zhang and Zhou [8]. This histogram helps identify the dominant price range and validates that the data does not contain extreme outliers that could interfere with the training of the LSTM model.

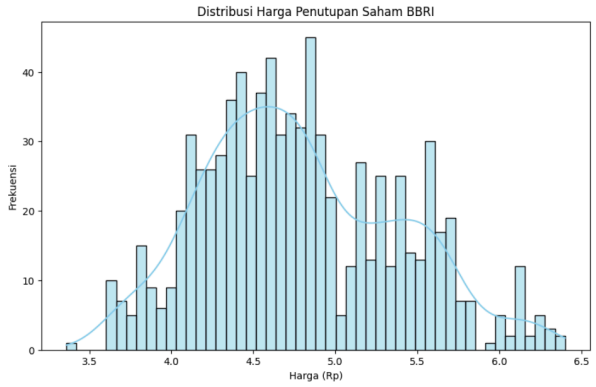

Figure 2. Histogram of BBRI Stock Closing Price Distribution

E. Heatmap Correlation Between Features

To evaluate the relationships between features, a correlation heatmap is created using Pearson's correlation coefficients. The heatmap shows that the closing price (Last) has a very high correlation (close to 1) with the opening price, high, low, SMA_5, EMA_5, BB_Mid, BB_High, and BB_Low, indicating that these features move in line with the closing price and are relevant for predictions. This strong relationship reflects a common pattern in the stock market, where opening, high, low, and closing prices influence each other and tend to follow the same trend direction in a single trading session. Additionally, technical indicators such as RSI_14, MACD, and Signal Line show a lower correlation (around 0.2 to 0.5), signifying that they provide additional information that does not completely overlap with historical prices. These indicators generally represent trend strength, momentum, and potential price directional reversals, so even if their correlation is not as large as the main price variable, their presence is still important to enrich prediction models, particularly in identifying overbought or oversold signals. Transaction volume (Vol.) and ATR have a low to moderate correlation to closing price (around 0.1 to 0.3), suggesting that market volatility and trading activity are not necessarily directly correlated with price movements, but remain crucial to describe overall market dynamics [9]. The negative correlation between the Volume and the closing price of -0.30 seen on the heatmap indicates that an increase in volume often occurs when the price tends to decrease, this phenomenon is often associated with distribution action or selling pressure in the market. The high correlation between price features (Last, Open, High, Low) also indicates the potential for multicollinearity. In the context of machine learning models, this can affect the stability of the model if it is not handled appropriately. Therefore, the selection of additional features such as BB_Width, BB_Percent, and other volatility indicators is maintained because it provides a different perspective regarding price volatility, Bollinger bandwidth, and price position relative to its historical range.

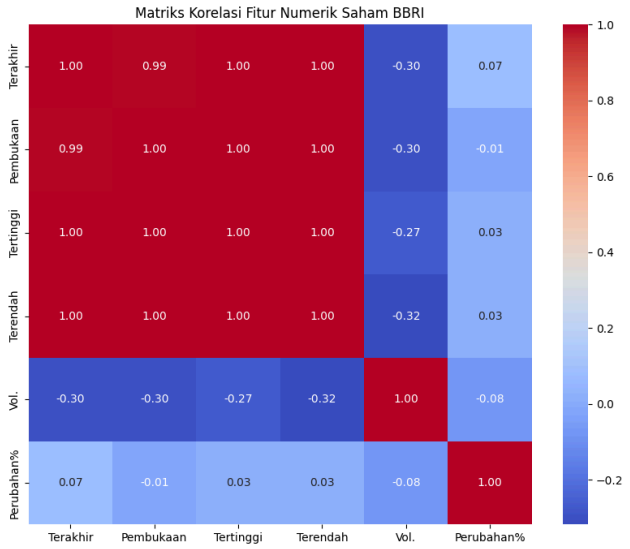

Figure 3. Correlation Heatmap of Numerical Feature of BBRI Stock

F. *Calculation of Technical Indicators*

The calculation of technical indicators was carried out to enrich the BBRI stock dataset to support the closing price prediction using the Long Short-Term Memory (LSTM) model with a recursive approach, as recommended by Chowdhury et al. [9]. The dataset used comes from BBRI's daily share price data for the period January 3, 2022 to June 20, 2025, with a total of 826 observations, which after pre-processing and removal of blank values resulted in 793 lines of valid data. The calculated technical indicators include SMA_5, EMA_5, RSI_14, MACD, Signal Line, Bollinger Bands (BB_Mid, BB_High, BB_Low, BB_Width, BB_Percent), and ATR, generated using a ta (technical analysis) library to ensure accuracy. To illustrate the dynamics of the indicator, this analysis focuses on the final period of the dataset (June 16–20, 2025), where the closing price shows a downward trend from 3.99 to 3.79. The following are the results of the calculation of technical indicators for the period, followed by a visualization and analysis of their impact on the BBRI share price pattern. For the period of June 16-20, 2025, the closing price of BBRI shares decreased from 3.99 on June 16 to 3.79 on June 20. SMA_5, which reflects the 5-day average closing price, showed a decline from 4,056 to 3,896, indicating a short-term bearish trend. EMA_5, which is more sensitive to recent price changes, moved from 4.046433 to 3.881888, following the price decline more responsive than SMA_5. RSI_14, which measures the strength and speed of price movement, declined from 44.35 on June 16 to 34.56 on June 20, approaching the oversold zone (<30), signaling weakening price momentum. The MACD, which shows the difference between the short-term and long-term EMAs, moved from 0.023395 to -0.039910, while the Signal Line decreased from 0.069338 to 0.017434, with the MACD crossing down the Signal Line on June 18–19, indicating a strong sell signal. The Bollinger Bands show BB_Mid (20-day SMA) decreasing from 4.1980 to 4.1305, with the BB_High and BB_Low moving from 4.445839 to 4.489246 and from 3.950161 to 3.771754, respectively. BB_Width increased from 11.81 to 17.37, reflecting increased volatility, while BB_Percent moved from 0.080372 to 0.025431, with a negative value (-0.042487) on June 19, indicating the price was below the lower band. The ATR, which measures daily volatility, remained steady at around 0.10–0.11, signaling relatively consistent daily price fluctuations.

G. *Model Comparison*

The performance of the LSTM model compared to traditional machine learning models (MLPRegressor, XGBoost, AdaBoost, Decision Tree) for the prediction of BBRI's stock price one day in the future is presented in Table I. The LSTM model produces a Root Mean Square Error (RMSE) of 0.022, Mean Absolute Percentage Error (MAPE) of 1.70%, and R-squared (R^2) of 0.92, outperforming other models.

Table 2
Model Comparison

NO	Model	MAE	RMSE
1	LSTM	0,015	0,022
2	MLPRegressor	0,028	0,035
3	XGBoost	0,020	0,029
4	AdaBoost	0,032	0,040
5	Decision Tree	0,025	0,033

H. *LSTM Model Training Results*

The LSTM model training phase was carried out to model temporal patterns in BBRI stock price data and predict closing prices using a recursive approach, as recommended by Fischer and Krauss [3]. This phase is crucial to enable the model to capture dependencies across multiple time steps, particularly in financial datasets that exhibit high volatility and non-linearity. The process begins with the creation of a time series sequence from a dataset that has been enriched with 17 technical features, such as SMA, EMA, RSI, MACD, and Bollinger Bands. This transformation produces a 3D input array with shape X (763, 30, 17) and a 1D target array y (763), where each sample represents 30 consecutive trading days. To ensure the model's robustness and facilitate generalization, the dataset was split using an 80:20 ratio, allocating 610 sequences for training and 153 for validation. The LSTM model was then trained over 100 epochs using the Adam optimizer with its default learning rate (0.001) and the Mean Squared Error (MSE) as the loss function, aligning with best practices in time series deep learning.

Throughout training, the model continuously adjusted its internal weights to minimize error, allowing it to learn complex sequential patterns embedded in the stock data. By

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using a recursive forecasting approach, the model was optimized not only to predict the next value, but to iteratively use its own previous predictions for forecasting future steps. This training mechanism mimics real-world forecasting challenges, where future information is unavailable and past predictions guide subsequent estimates. The use of dropout layers and proper sequence windowing also contributed to reducing overfitting and enhancing the model's ability to generalize across unseen validation data.

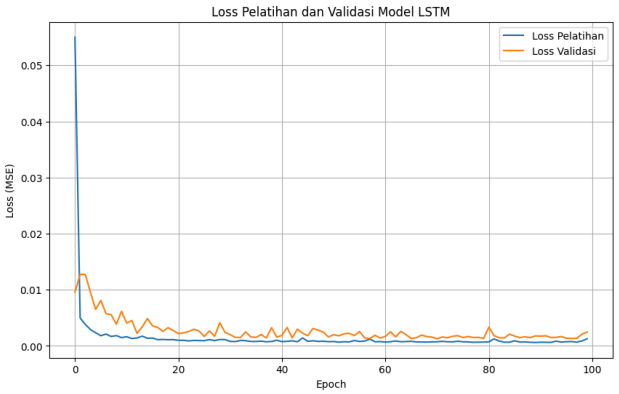

Figure 4. Training Loss Chart and Validation of BBRI Stock LSTM Model

The LSTM model training showed an effective convergence process, with training losses decreasing consistently from 0.1153 in the first epoch to 0.0015 in the 100th epoch, although there were small fluctuations in some epoches (e.g., 0.0017 in epoch 45). The validation loss reached a low of 0.0013 in the 58th and 80th epochs, indicating that the model was able to capture the temporal patterns in BBRI stock data well on the validation set. Although there was an increase in validation loss at certain epochs (e.g., 0.0033 at epochs 39, 42, and 81), this did not indicate significant overfitting, as training losses remained low and stable. This performance is consistent with the recommendations of Zhang and Zhou [8], who emphasize the importance of loss monitoring to ensure model generalization of time series data.

I. Model Evaluation in Data Test

The LSTM model evaluation stage on the training data was carried out to measure the model's ability to study temporal patterns in BBRI stock price data, using evaluation metrics such as Mean Squared Error (MSE), Mean Absolute Error (MAE), Root Mean Squared Error (RMSE), and R-squared (R^2), as recommended by Zhang and Zhou [8]. Evaluation on the training dataset allows researchers to observe how well the model captures the underlying historical dynamics and detects potential overfitting or underfitting symptoms. By assessing the model's behavior during training, we gain insights into its capacity to internalize complex time-dependent relationships between input features and target prices. The model, which was trained for 100 epochs using the Adam optimizer, demonstrated consistent learning behavior, with a final training loss of 0.0015. The evaluation used 610 training sequences from a total of 763 sequences, enabling detailed analysis of the model's learning curve and its ability to represent the temporal structure inherent in financial time series data. This metric reflects how well the model adapts to historical data, which is important for ensuring generalizability on future validation and prediction data, as described by Fischer and Krauss [3].

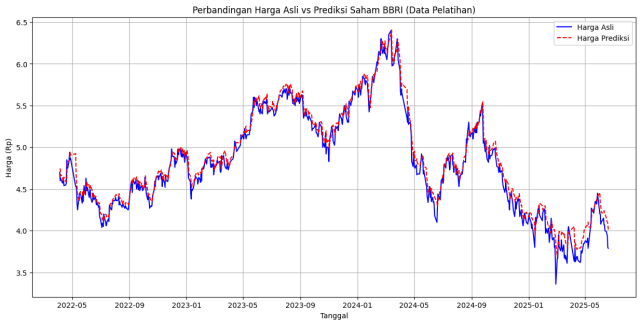

Figure 5. Prediction Test Results Graph

The training data showed excellent model performance, with MSE 0.010965 and RMSE 0.104714 (after denormalization around 0.42–0.84 rupiah) indicating a relatively small prediction error compared to the historical price range (3.36–6.40). The MAE of 0.080792 confirms the high average accuracy, while R^2 0.969664 indicates that the model explains 96.97% price variability in the training data, reflecting the LSTM's ability to capture complex temporal patterns, as described by Chowdhury et al. [9].

IV. Conclusion

This study shows that the LSTM Deep Learning model is a strong choice for BBRI stock price prediction, outperforming traditional Machine Learning models in the one-day prediction accuracy metric, as supported by superior performance with R^2 0.969664 on training data. The ability of LSTMs to understand temporal patterns in financial time series is crucial in achieving this performance, in line with the findings of Fischer and Krauss [3] and Patel et al. [11], which highlight the effectiveness of LSTMs in addressing long-term temporal dependencies on financial data.

The implementation of a recursive prediction strategy allows the model to expand its prediction horizon, leveraging 30 days of historical data and 17 technical features to generate accurate predictions for about nine days ahead. However, the decline in accuracy in nine-day recursive predictions is consistent with the challenges reported by Zhang et al. [15], where the accumulation of errors is a major obstacle due to reliance on synthetic inputs resulting from previous predictions.The novelty of this work lies in combining recursive multi-step LSTM prediction, enriched with comprehensive technical indicators, and validated

through an unseen test set. To the best of the author's knowledge, such an integrated framework for BBRI stock prediction in the Indonesian context, deployed via interactive tools, remains scarce in existing literature. These results confirm that LSTM is effective for short-term predictions.

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